other BRICS (with the exception thus far of India), with important consequences for their relative positions within the group. Like China, India rapidly doubled its output per person—in only sixteen years—and now is poised for its own great breakout, growing faster than China in 2016, at a rate of 7.6 percent. India overtook Japan in 2008 as the world's third-largest economy in PPP terms and should soon overtake Italy and Brazil to move into seventh position, behind France and Britain, when output is assessed in market rates. All the BRIC countries were once synonymous with rapid growth. However, by 2015, they struggled to remain in the top ten world economies and were split between the top and the bottom, as shown in Figure 2.4, which charts the BRICS' year-on-year percent changes in GDP.

A similar pattern manifested itself in the 2016 Global Manufacturing Competitiveness Index. That source views China as one of the top two manufacturing nations, with India expected to rise from eleventh to fifth position by 2020. Meanwhile, Brazil fell to twenty-ninth in 2016 from fifth in 2010 and Russia slumped to thirty-second from twentieth in the same period.[62]

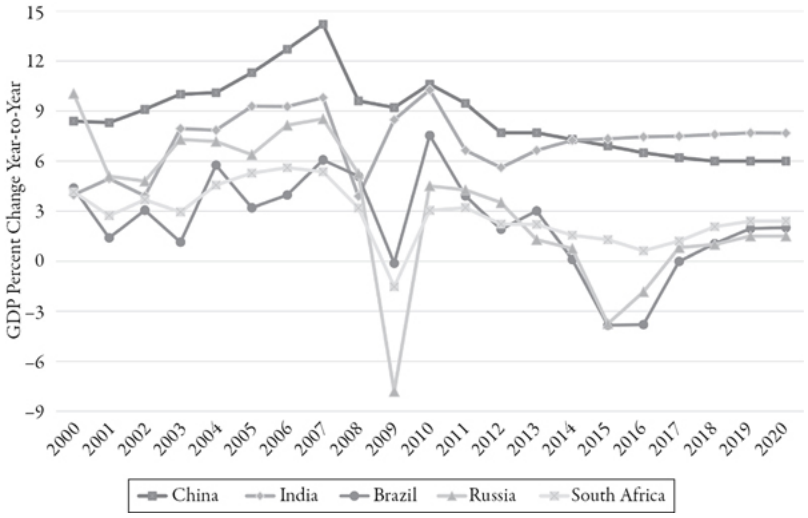


FIGURE 2.4 GDP Growth: BRICS (% Change, Year on Year) 2000–2020

Source: IMF World Economic Outlook Database, April 2016; Year-on-year changes are percentages of constant prices in national currencies.

Growth in emerging markets as a group has been slowing since around 2010 and is currently below its long-run average, declining from 7.6 percent (2010) to 3.7 percent (2015). Following this pattern, the BRICS countries have also slowed, from about 9 percent to 4 percent on average in the same period, reflecting slowing growth in China, recessions in Russia (since 2014) and Brazil (since 2014), and chronic weakness in South Africa. It is evident that the slowdowns in growth are a global phenomenon, although the U.S. performance has been stronger than that of its European counterparts. As the BRICS integrate further into the global economy, the potential for spillovers will increase, not just in positive, virtuous circles but also (as now demonstrated) with downward negative feedback. The World Bank is concerned, for example, about the risks of a perfect storm, in which BRICS weakness combines with financial turmoil.[63] The potential for consequential impacts on other economies are also indicators of the global influence of the BRICS, intended or not.

Finally, all the BRICS, like other emerging economies, must face the "middle-income trap," as the easy catch-up productivity gains (relative to developed economies) are gradually exhausted, typically when their GDP per capita levels reach around $16,000 in constant 2005 international prices.[64] Although analysts disagree on how much scope China still has to increase productivity and maintain relatively rapid growth, the World Bank concurs that "[i]mplementation of much needed structural reforms will not reverse a moderation of economic growth over the next decades."[65] Unless the BRICS successfully address the institutional reforms and productivity gains needed to ensure strong growth, it is doubtful that they can achieve their collective ambition to become and remain significant global rule-makers and important regional powers (see Chapter 5). Particularly in Russia and China, without gains in productivity, a smaller workforce will constrain consumption and slow the overall rate of economic growth. China's labor force peaked in 2012, and as the population ages, China's high labor-force participation rate is expected to decline from 70 to 67 percent by 2030.[66]